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Malaysia will require trade permits for US AI chips

Malaysia is taking on a bigger role in helping the U.S. prevent advanced AI chips from ending up in China.

The Malaysian Ministry of Investment, Trade and Industry announced new restrictions on exporting AI chips of U.S. origin out of its country on Monday. Individuals and companies are now required to notify Malaysian authorities at least 30 days in advance when they are exporting or transshipping U.S. AI chips, effective immediately.

"Malaysia stands firm against any attempt to circumvent export controls or engage in illicit trade activities by any individual or company, who will face strict legal action if found violating the STA 2010 or related laws," the Ministry wrote in a [press release](#).

Alleged chip smuggling of U.S. AI chips into China has come up multiple times in recent months.

Anthropic claimed that China already had sophisticated chip-smuggling networks set up in a [blog post](#) in April. The post also claimed that smugglers were going to extreme lengths to bring AI chips into China, including using prosthetic baby bumps filled with chips, and that smugglers were shipping GPUs alongside live lobsters.

Anthropic's April blog post was written in [favor of the U.S. imposing more AI chip export rules](#) to

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prevent this type of smuggling. Those restrictions are likely arriving in the near future.

Last week, [Bloomberg reported](#) that the Trump administration was planning to further restrict the export of AI chips, from companies like Nvidia, to Malaysia and Thailand, to prevent China from accessing these AI chips through a different mode of entry. The Trump administration has not made an official announcement regarding this yet.

The U.S. Department of Commerce is also working on its own set of general U.S. AI chip export restrictions after [formally rescinding the Biden administration's AI Diffusion rules](#) in May.

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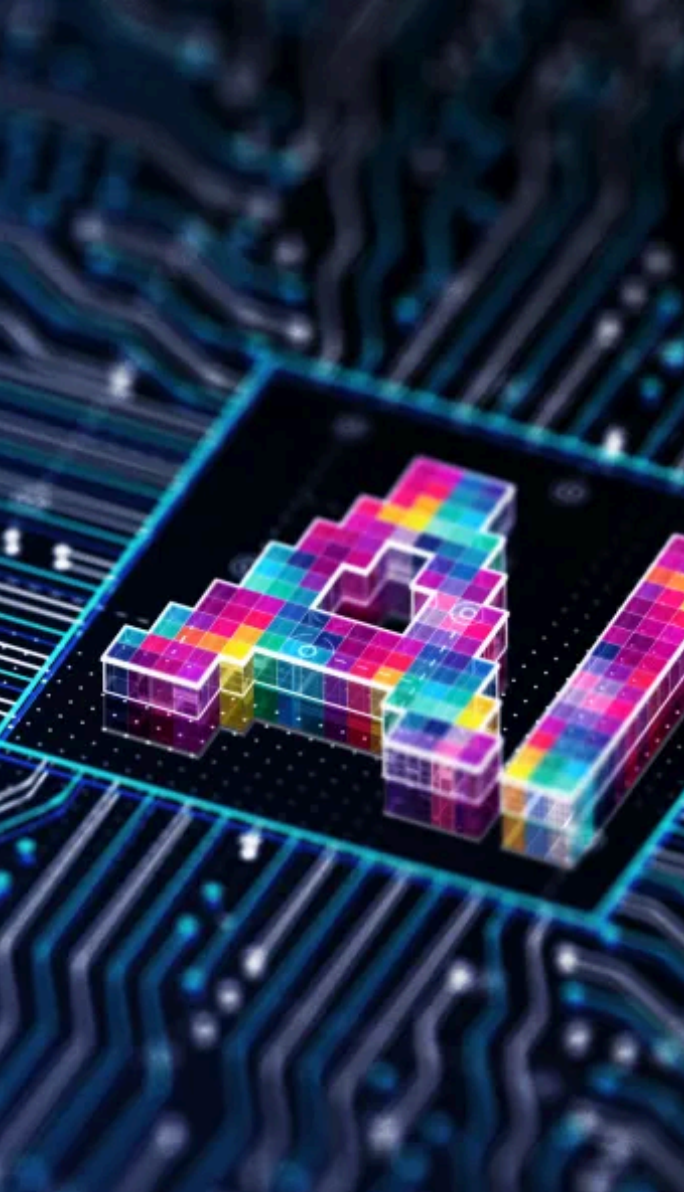
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Two arrested for smuggling AI chips to China — Nvidia says no to kill switches

Rebecca Szkutak — 6:02 AM PDT · August 6, 2025



The U.S. Department of Justice (DOJ) [said](#) on Tuesday that two Chinese nationals have been arrested for their alleged involvement in illegally shipping tens of millions of dollars' worth of high-performance AI chips to China.

The DOJ said Chuan Geng and Shiwei Yang were arrested in California on August 2 and charged with violating the Export Control Reform Act, a felony that carries a statutory penalty of a maximum of 20 years in prison.

Geng and Yang are accused of knowing and willfully shipping “sensitive technologies,” including GPUs, to China from the U.S. through their California-based company, ALX Solutions.

The DOJ did not name the company whose chips ALX Solutions was allegedly smuggling, but quoting

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a complaint, it said the chip is “the most powerful chip in the market” and is “designed specifically for AI applications.” That description makes it likely that the chips being smuggled were made by Nvidia. A [report by Reuters](#) specifically named Nvidia’s H100 GPUs as the chips being shipped.

A review of export documents by the DOJ found that ALX Solutions sent chips and other tech to shipping and freight-forwarding companies in Singapore and Malaysia, but received payments from entities in Hong Kong and China in return. The department also found records of communication regarding shipping the tech to Malaysia to specifically go around U.S. export restrictions.

“This case demonstrates that smuggling is a nonstarter,” an Nvidia spokesperson said in a statement. “We primarily sell our products to well-known partners, including OEMs, who help us ensure that all sales comply with U.S. export control rules. Even relatively small exporters and shipments are subject to thorough review and scrutiny, and any diverted products would have no service, support, or updates.”

The news comes as the U.S. tries to figure out how to strike a balance between fostering global AI innovation and imposing export restrictions to China, which many in the West perceive to be a major threat in the AI race. The Trump administration’s recently announced [AI Action Plan](#) belabored the importance of having strong export restrictions but was light on details.

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One potential solution to curb chip smuggling that has been suggested by the U.S. government in recent days is to [implement tracking technology into chips](#) to help catch smuggling, but chipmakers are quite opposed to such a move.

In a [blog post on Tuesday](#), Nvidia said its GPUs do not include kill switches or backdoors, and argued that building in such tools would only result in compromising security.

“Nvidia has been designing processors for over 30 years. Embedding backdoors and kill switches into chips would be a gift to hackers and hostile actors,” the company wrote. “It would undermine global digital infrastructure and fracture trust in U.S. technology. Established law wisely requires companies to fix vulnerabilities — not create them.”

“That’s not sound policy. It’s an overreaction that would irreparably harm America’s economic and national security interests,” Nvidia wrote.

Nvidia did not immediately return requests for additional comment.

For more on the semiconductor industry’s tumultuous year so far, here’s a [regularly updated timeline](#) of market news since the beginning of 2025.

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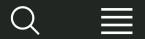
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Nvidia's resumption of H20 chip sales related to rare earth element trade

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After announcing in June plans to essentially withdraw from the Chinese market, the semiconductor chip and AI giant reversed course and said it was filing an application to restart sales of its H20 AI chip to China.

IMAGE CREDITS: LU HONGBO/VCG / GETTY IMAGES

U.S. Commerce Secretary Howard Lutnick said Tuesday that Nvidia's plans to start selling its H20 AI chips are tied to ongoing trade discussions with China regarding rare-earth elements, according to reporting from Reuters. AMD plans to restart sales of its MI308 AI chip in China too.

Rare-earth elements (REE) like lanthanum and cerium, which are largely mined in China, are necessary components in technology, including rechargeable batteries for electric vehicles. These REEs have become a critical point in the current trade debates between the U.S. and China.

Not everyone is happy with this trade development though.

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The decision “would not only hand our foreign adversaries our most advanced technologies, but is also dangerously inconsistent with this administration’s previously-stated position on export controls for China,” Congressman Raja Krishnamoorthi said in a statement, according to Reuters.

But Lutnick isn’t concerned and told CNBC on Tuesday that China is only getting [Nvidia’s “fourth best” chip](#).

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“We don’t sell them our best stuff, not our second best stuff, not even our third best,” Lutnick said in the interview.

This news comes less than a week after it was rumored that Nvidia would be [designing and releasing a new AI chip specifically for the Chinese market](#) to resume business in the country without violating U.S. chip export rules.

The U.S. is still trying to figure out what its AI chip export rules are going to look like. The Trump administration [formally rescinded the Biden administration’s AI Diffusion Rule](#) in May and there hasn’t been a formal update since.

The Trump administration was [rumored to be considering further restrictions on AI chip exports to countries like Thailand and Malaysia](#), to prevent smuggling, Bloomberg reported last week. Malaysia [implemented trade permits on U.S.-made AI chips](#) on Monday.

TechCrunch reached out to Nvidia for comment.

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AI

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Trump’s AI Action Plan aims to block chip exports to China but lacks key details

Rebecca Szkutak — 11:39 AM PDT · July 23, 2025

The Trump administration wants its AI technology to be considered an industry leader both on home soil and abroad. But it also doesn’t want the U.S.’s AI prowess to empower or embolden a foreign adversary.

That’s quite the balance to strike.

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If President Trump’s [AI Action Plan](#), which was released on Wednesday, is any indicator, it seems the administration is still figuring out the right course of action to achieve those goals.

“America currently is the global leader on data center construction, computing hardware performance, and models,” the plan stated. “It is imperative that the United States leverage this advantage into an enduring global alliance, while preventing our adversaries from free-riding on our innovation and investment.”

The plan mentions strengthening AI chip export controls through “creative approaches” followed by a pair of policy recommendations.

The first calls on government organizations, including the Department of Commerce and National Security Council, to work with the AI industry on chip location verification features. The second is a recommendation to establish an effort to figure out enforcement for potential chip export restrictions; notably, it mentions that while the U.S. and allies impose export controls on major systems required for chip manufacturing, there isn’t a focus on many of the component subsystems — a hint at where the administration wants the DOC to direct its attention.

The AI Action plan also talks about how the U.S. will need to find alignment in this area with its global allies.

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“America must impose strong export controls on sensitive technologies,” the plan states. “We should encourage partners and allies to follow U.S. controls, and not backfill. If they do, America should use tools such as the Foreign Direct Product Rule and secondary tariffs to achieve greater international alignment.”

The AI Action plan never gets into detail on exactly how it will achieve AI global alliances, coordinate with allies on export chip restrictions, or work with U.S.-based AI companies on chip location verification features. Instead, the AI Action plans lay out what foundational building blocks are required for future sustainable AI chip export guidelines, as opposed to policies implemented on top of existing guidelines.

The upshot: Chip export restrictions are going to take more time. And there's ample evidence, beyond the AI Action plan, to suggest it will. For

instance, the Trump administration has contradicted itself multiple times on its export restriction strategy in the past few months — including just last week.

In July, the administration gave semiconductor firms, like Nvidia and AMD, [the green light to start selling AI chips](#) they had developed for China, just months after rolling out [licensing restrictions on the same AI chips](#) that effectively pulled Nvidia out of the Chinese market.

The administration also formally rescinded the Biden administration's [AI diffusion rule](#) (which put a cap on how much AI computing capacity some countries were allowed to buy) in May, just days before it was supposed to go into effect.

The Trump administration is expected to sign multiple executive orders on July 23. Whether these will contain detailed plans on how it will reach its goals is unclear.

While the AI Action Plan talks at length about figuring out how to expand the U.S. AI market globally, while maintaining dominance, it's light on the specifics. Any executive order regarding chip export restrictions will likely be about getting the proper government departments together to figure out a path forward, as opposed to formal guidelines, quite yet.

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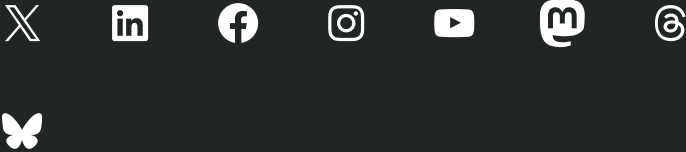
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